TABLE 2.4

Rankings of Domestic Financial Development: G5 and BRICS

	Entire Financial System		Banking System Only		Capital Markets Only	
	IMF[a]	WEF[b]	IMF[a]	WB[c]	IMF[a]	WB[c]
Ranking from:	*(n = 183)*	*(n = 140)*	*(n = 183)*	*(n = 189)*	*(n = 183)*	*(n = 189)*
G5						
Britain	3	16	4	19	6	4
France	11	29	3	79	21	29
Germany	14	18	23	28	13	49
Japan	8	19	6	79	11	36
United States	4	5	13	2	1	35
BRICS						
Brazil	25	58	15	97	31	29
China	33	54	57	79	20	134
India	51	53	102	42	38	8
Russia	32	95	46	42	19	66
South Africa	28	12	28	59	30	14

Note: Higher-ranked countries have lower numbers.

[a] "IMF" is Katsiaryna Svirydzenka, "Introducing a New Broad-Based Index of Financial Development," IMF Working Paper WP/16/5, Washington, DC: International Monetary Fund, January 2016.

[b] "WEF" is World Economic Forum, *Global Competitiveness Report 2015–2016*, Geneva, Switzerland: World Economic Forum, 2015.

[c] "WB" is World Bank, *Doing Business 2016: Measuring Regulatory Quality and Efficiency*, Washington, DC: World Bank, 2016.

Table 2.4 compares global rankings of the domestic financial development of these same ten countries.[124] There are two large conclusions. First, the variability of the judgments, which come from three different sources, about these ten countries suggests some caution. Nonetheless, and second, the table's rankings generally confirm our assertion that domestic financial development within the BRICS has been considerable, as their scores overlap those of the G5 countries. The first two columns compare assessments of the overall financial system from the IMF (drawn from a composite labeled "financial development") and World Economic Forum (WEF) (its judgment of "financial market development"). As anticipated, the G5 receive higher scores than the BRICS, and the United States, followed by the United Kingdom, leads the pack. However, the WEF ranks South Africa's financial system twelfth in the world, higher than any of the G5 members except the United States.

The middle two columns evaluate banking systems, drawing from the IMF (a ranking of "financial institutions")[125] and World Bank (via a survey indicator of "ease of getting credit"). Again, the G5 generally outscore the BRICS. However, there are some anomalies: the IMF's methodology awards Brazil a higher rank than Germany, while the World Bank's survey respondents considered it tougher to get credit in Japan than in India, Russia, or South Africa.

The final columns report rankings for stock and bond markets, jointly known as the capital markets. They report a general assessment from the IMF ("financial markets") with the World Bank's findings about honesty and transparency ("protections for minority investors"). Here, one finds the expected patterns for rising middle-income countries, with a few outliers. On the World Bank's measure, for example, India and South Africa score higher than any of the G5 countries except Britain. And even within the BRICS group, China's reputation for protecting small investors is very bad, and its domestic financial sector reporting may be particularly unreliable. Nonetheless, the structure and performance of the BRICS' home financial sectors clearly are sufficient to support their leaders' ambitions to play a larger international role.